



Python for Fixed Income

COURSE 3 · MARKET DATA AND TIME SERIES

Changes in bp and Percent

WEEK 2 · DAY 1

Created by **Jeff Lenamon**

This course is educational content created in a personal capacity. Nothing here is investment advice or a recommendation to buy or sell any security. All portfolio data is synthetic.

How far did it move?

Every morning note opens with the same line: where each series closed, and how far it moved on the day, the week, the month, and the year.

Unit

bp or percent?

Rows

A change from which earlier observation?

Holiday

A start date with no row at all

Make each decision once, in code, tested against Excel: `change_bp`, `return_pct`, `change_since_bp`.

Week 2: time series measures

Day 6 **Changes in bp and percent**

Day 7 Rolling windows, volatility

Day 8 Z-scores, percentile ranks

Day 9 Slopes and butterflies

Day 10 Case study: three years

Yields and spreads in bp; prices in percent

Series	Stored in	Its change	Formula
Treasury yield	percent	bp	$(y_t - y_{t-k}) \times 100$
Credit spread	bp	bp	$s_t - s_{t-k}$
Bond price	per 100	percent	$(P_t / P_{t-k} - 1) \times 100$

The last day in the file, by hand

10 Yr: 5.24 to 5.28 percent, a change of +4.0 bp

IG spread (synthetic): 98.0 to 97.0 bp, a change of -1.0 bp

The same 10 Yr change, unrounded

4.0000000000000036

Binary noise, the same in Excel. Round to display; compare with a tolerance.

k is the number of observations back: an earlier row of the market calendar, never a day with no row.

change_bp: rows back, whatever the gap

```
def change_bp(series, periods=1, percent_units=True):  
    _check_series(series, "series")  
    difference = series - series.shift(periods)  
    return difference * 100 if percent_units else difference
```

percent_units

True: a yield in percent, times 100

False: a spread already in bp

Left True on a spread: 100 times too big

The week of Labor Day 2026: no row on Monday 7 September

2026-09-03 4.77

2026-09-04 4.78

2026-09-07 no row

2026-09-08 4.80

2026-09-09 4.83

Tuesday 2026-09-08 is a change from Friday: 4.78 to 4.80, +2 bp. A holiday is never a zero change.

Why a percent change of a yield misleads

From (%)	To (%)	Change (bp)	Percent change of the yield
1.00	1.10	10	10.0 percent
4.00	4.10	10	2.5 percent
8.00	8.10	10	1.25 percent

Right for a price

`pct_change()` and `=B3/B2-1` answer "what share of the price?" That is the question for a price.

Misleading for a yield

The same 10 bp move reads 10, 2.5, or 1.25 percent, depending only on the starting level.

Prices respond to the bp move (DV01 is price per 1 bp), so yields and spreads are compared in bp.

change_since_bp: a change since a date

Period	Since	Uses	10 Yr then (%)	Change (bp)
1 week	2026-09-25	2026-09-25	5.17	+11
1 month	2026-09-02	2026-09-02	4.79	+49
year to date	2025-12-31	2025-12-31	4.18	+110

As of 2026-10-02. Each end is an as-of value: the last observation on or before the date.

```
_, now = value_as_of(series, as_of)
_, then = value_as_of(series, since)
return (now - then) * 100
```

Since Labor Day, 2026-09-07

Uses Friday 2026-09-04: +51 bp to 30 September.

One week is 7 calendar days; one month is DateOffset(months=1), counted like EDATE.

A price return from your bondmath

Quorvane Energy (synthetic, Course 2): 5.25 percent coupon, maturing 30 September 2031. Its yield moved by the 5 Yr's September change: 4.80 to 5.40 percent.

+60 bp

5 Yr over September: the yield change

-2.6018%

Clean price return: 102.004270 to 99.350327

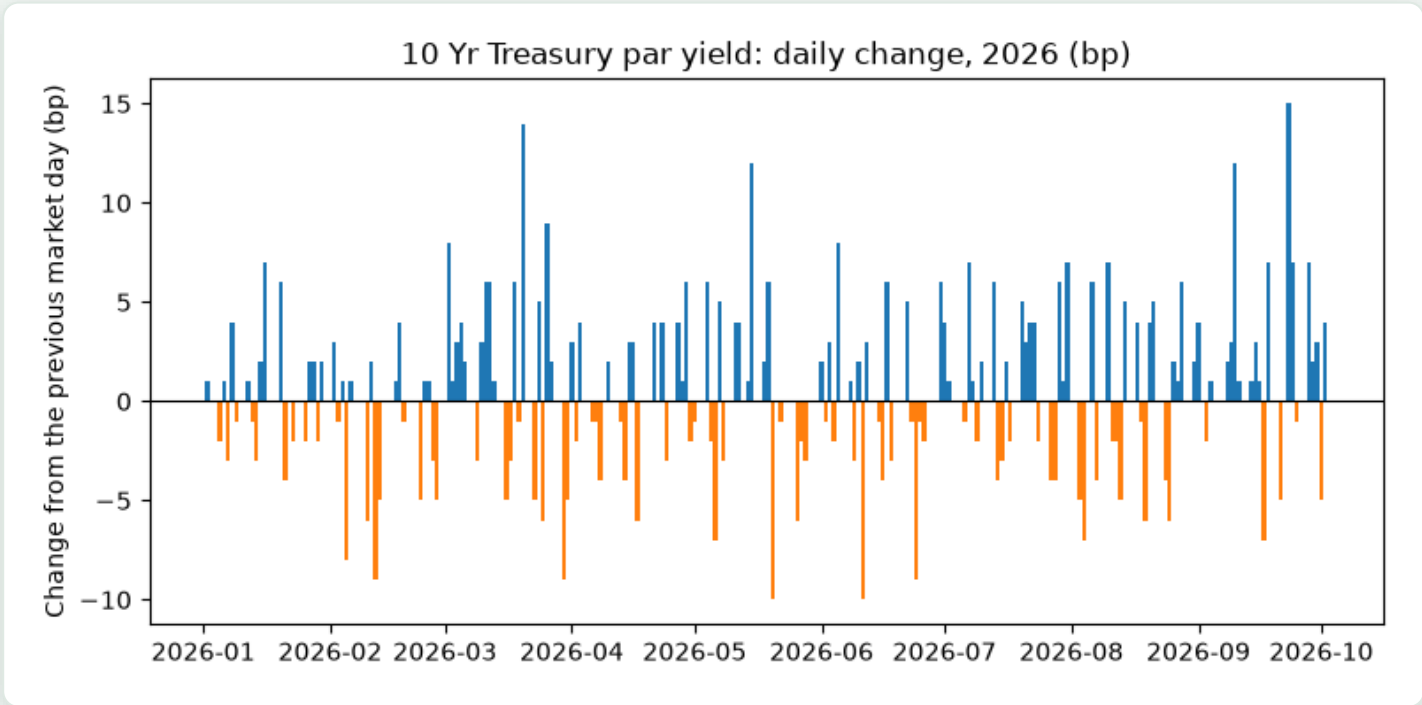
-2.6013%

Duration estimate: $-4.3355 \times 60 / 100$

One event, two units. Duration is the bridge from a change in bp to a change in percent.

A clean price return: the coupon paid on 2026-09-30 and the month's accrued interest are not included.

The largest daily moves of 2026



Date	Change (bp)
2026-09-23	15
2026-03-20	14
2026-05-15	12
2026-09-10	12
2026-05-20	-10
2026-06-11	-10

Days of 10 bp or more: 4 unrounded, 6 rounded. Two 10 bp falls are stored a hair short of 10.

Excel side by side

The daily change

`=(B3-B2)*100`

Filled down: equal to change_bp on all 190 rows of 2026.

=B2/B1-1 on 4.00 to 4.10 shows 2.5%: the percent trap.

A change since a date

```
=(B251-XLOOKUP(  
    EDATE(A251,-1),  
    A:A,B:B,, -1))*100
```

Match mode -1: the value on the date, or the last date before it. Equal on every row.

A price return

```
=PRICE(DATE(2026,8,31),  
    DATE(2031,9,30),  
    5.25/100,A1/100,100,2,0)
```

=(B2/B1-1)*100 returns -2.6018, as return_pct does.

Tested in Excel 16.0 build 20430, 2026-10-04.

Also tested: one week, year to date, a holiday start, and MAX with XLOOKUP for the date.

Save the day: git blame

Which day added each line? The history is rebuilt one commit a day, then today's commit goes on top.

```
git blame -s --root -L "/def get_secret/,+1" -L "/def value_as_of/,+1"  
           -L "/def change_bp/,+1" marketdata.py  
80b1d8dd 17) def get_secret(...  
5b4ff168 251) def value_as_of(...  
5eb17acb 339) def change_bp(...
```

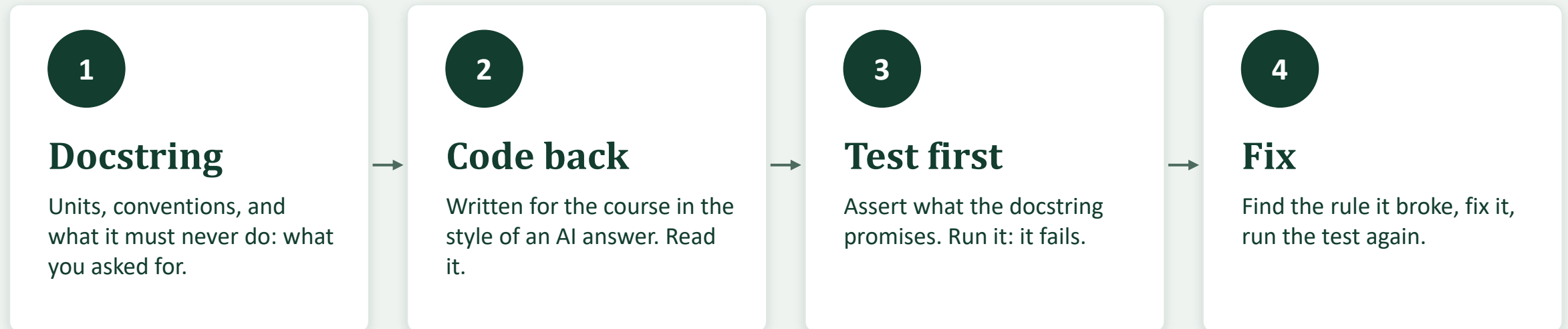
git log --oneline: match the hashes

80b1d8d Day 1: APIs, Keys, and Secrets 5b4ff16 Day 4: Resampling and the As-Of... 5eb17ac Add change_bp, return_pct, and ...

get_secret came on day 1, value_as_of on day 4, change_bp today.

The AI check

The docstring is the prompt. The code that comes back runs, and has one data bug.



Today: `daily_change_bp` returns `pct_change() * 100`, labelled bp: 0.7634 for a 4 bp move.

Code that runs is not the same as code that is right.

What you can do now

- Yields and spreads change in bp; prices change in percent
- `change_bp` counts rows: a holiday is never a zero change
- `change_since_bp`: as-of values at both ends of a period
- Duration links a move in bp to a return in percent
- Round away binary noise before ranking; 25 tests pass

Week 2, Day 2 Rolling windows and volatility: daily changes in bp, windows in rows, and no lookahead